



# ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

*57th Legislature, 2nd Regular Session*

*Majority Research Staff*

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## **HB4044: public safety parity fund**

### **WENINGER FLOOR AMENDMENT**

1. Removes language relating to the allocation of proceeds from the sale of forfeited digital assets.
2. Reinstates the first \$10,000,000 generated annually from Budget Stabilization Fund investments within the Fund, instead of directing all generated investments to the Public Safety Parity Fund.
3. Specifies the Budget Stabilization Fund is established to *provide retention pay and benefits for* employees from the Department of Public Safety and the Department of Corrections.
4. Directs the Department of Corrections to also distribute monies from the Public Safety Parity Fund on July 1 and December 31 each year.
5. Allows the Department of Corrections and the Department of Public Safety to provide a retention bonus for department employees that amounts to a maximum of 3% of the Public Safety Parity Fund.
6. Specifies the Department of Public Safety is required to use Parity Compensation Fund monies to also provide retention pay and benefits for employees from the Department of Public Safety, in addition to providing for salaries and benefits for law enforcement personnel.

WENINGER FLOOR AMENDMENT  
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 4044  
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Section 13-4315, Arizona Revised Statutes, is amended  
3 to read:

4 13-4315. Allocation of forfeited property; definition

5 A. Any property, including all interests in property, forfeited to  
6 the state under this title shall be transferred as requested by the  
7 attorney for the state to the seizing agency or to the agency or political  
8 subdivision employing the attorney for the state, which may do any of the  
9 following:

10 1. Sell, lease, lend or transfer the property to any local or state  
11 government entity or agency or political subdivision, any law enforcement  
12 agency or prosecutorial agency or any federal law enforcement agency that  
13 operates within this state for official federal, state or political  
14 subdivision use within this state, with expenses for keeping and  
15 transferring such property to be paid by the recipient. Property may not  
16 be allocated for official use if the fair market value of the property  
17 substantially exceeds the agency's probable cost of purchasing other  
18 property equally suited for the intended official use. Property that is  
19 allocated for official use may not be assigned for use by any person who  
20 supervised or exercised discretion in its forfeiture unless the use is  
21 approved in writing by the head of the agency.

22 2. Sell forfeited property by public or otherwise commercially  
23 reasonable sale with expenses of keeping and selling the property and the  
24 amount of all valid interests established by claimants paid out of the  
25 proceeds of the sale with the balance paid into the anti-racketeering  
26 revolving fund of the state or of the county in which the political  
27 subdivision seizing the property or prosecuting the action is located. A  
28 sale of forfeited property may not be made to any employee of the seizing

~~1 agency, any person who participated in the forfeiture, any employee of a  
2 contractor selling the property on behalf of the seizing agency or any  
3 member of the immediate family of any of these employees or persons.~~

~~4 3. SELL A FORFEITED DIGITAL ASSET BY PUBLIC OR OTHERWISE  
5 COMMERCIALY REASONABLE SALE WITH THE EXPENSES OF KEEPING AND SELLING THE  
6 DIGITAL ASSET AND THE AMOUNT OF ALL VALID INTERESTS ESTABLISHED BY  
7 CLAIMANTS, INCLUDING ANY RESTITUTION THAT WAS ORDERED BY A COURT, PAID OUT  
8 OF THE PROCEEDS OF THE SALE. THE FIRST \$300,000 OF THE PROCEEDS OF THE  
9 SALE OF ANY FORFEITED DIGITAL ASSET SHALL BE DEPOSITED, PURSUANT TO  
10 SECTIONS 35-146 AND 35-147, IN THE ANTI-RACKETEERING REVOLVING FUND  
11 ESTABLISHED BY SECTION 13-2314.01. IF THE PROCEEDS OF THE SALE OF THE  
12 FORFEITED DIGITAL ASSET IS MORE THAN \$300,000, THE REMAINING BALANCE SHALL  
13 BE DIVIDED UP BY DEPOSITING, PURSUANT TO SECTIONS 35-146 AND 35-147, FIFTY  
14 PERCENT IN THE ANTI-RACKETEERING REVOLVING FUND ESTABLISHED BY SECTION  
15 13-2314.01 AND DEPOSITING, PURSUANT TO SECTIONS 35-146 AND 35-147, THE  
16 REMAINING FIFTY PERCENT IN THE PUBLIC SAFETY PARITY FUND ESTABLISHED BY  
17 SECTION 41-1610.02. DIGITAL ASSETS MUST BE SOLD THROUGH STATE-APPROVED  
18 CRYPTOCURRENCY EXCHANGES OR OTHER SECURE PLATFORMS TO ENSURE ACCURATE  
19 VALUATION AND TRANSPARENCY. A DIGITAL ASSET MAY REMAIN IN ITS NATIVE  
20 FORM. A DIGITAL ASSET THAT IS SEIZED PURSUANT TO THIS CHAPTER MUST BE  
21 STORED IN A STATE-APPROVED, SECURE DIGITAL WALLET SYSTEM THAT IS MANAGED  
22 BY AUTHORIZED PERSONNEL TO PREVENT LOSS, THEFT OR UNAUTHORIZED ACCESS.  
23 THIS PARAGRAPH APPLIES TO A FORFEITURE THAT INVOLVES ONLY DIGITAL ASSETS  
24 THAT ARE FORFEITED BY THE OFFICE OF THE ATTORNEY GENERAL.~~

~~25 3. 4. Destroy or use for investigative purposes any illegal or  
26 controlled substances or other contraband at any time more than twenty  
27 days after seizure, on written approval of the attorney for the state,  
28 preserving only such material as may be necessary for evidence.~~

~~29 4. 5. Sell, use or destroy all raw materials, products and  
30 equipment of any kind used or intended for use in manufacturing,  
31 compounding or processing a controlled substance.~~

~~32 5. 6. Compromise and pay claims against property forfeited  
33 pursuant to any provision of this section.~~

~~34 6. 7. Make any other disposition of forfeited property authorized  
35 by law for the disposition of property of the state, government entity,  
36 agency or political subdivision.~~

~~37 8. Notwithstanding subsection A of this section or any other law to  
38 the contrary:~~

~~39 1. If the property forfeited is money, and a law enforcement agency  
40 can specifically identify monies as being from its investigative funds or  
41 as being exchanged for property from its investigative property, the  
42 monies shall be remitted to the investigative fund. If there are  
43 additional forfeited monies or monies tendered on satisfaction by an  
44 interest holder that cannot be specifically identified, the court shall  
45 order the monies returned to each law enforcement agency that makes a~~

~~1 showing of costs or expenses that it incurred in connection with the~~  
~~2 investigation and prosecution of the matter and shall order all excess~~  
~~3 monies remaining after such returns deposited in the anti-racketeering~~  
~~4 revolving fund of this state or of the county in which the political~~  
~~5 subdivision seizing the monies or prosecuting the action is located,~~  
~~6 established pursuant to section 13-2314.01 or 13-2314.03.~~

~~7 2. If the property declared forfeited is an interest in a vehicle,~~  
~~8 the court shall order it forfeited to the local, state or other law~~  
~~9 enforcement agency seizing the vehicle for forfeiture or to the seizing~~  
~~10 agency.~~

~~11 C. Monies in any anti-racketeering revolving fund established~~  
~~12 pursuant to this title may be used, in addition to any other lawful use,~~  
~~13 for:~~

~~14 1. The payment of any expenses necessary to seize, detain,~~  
~~15 appraise, inventory, protect, maintain, preserve the availability of,~~  
~~16 advertise or sell property that is subject to forfeiture and that is~~  
~~17 seized, detained or forfeited pursuant to this title or of any other~~  
~~18 necessary expenses incident to the seizure, detention, preservation or~~  
~~19 forfeiture of the property. The payments may include payments for~~  
~~20 contract services and payments to reimburse any federal, state or local~~  
~~21 agency for any expenditures made to perform the investigative, storage and~~  
~~22 maintenance functions associated with the property held by the seizing~~  
~~23 agency.~~

~~24 2. The payment of awards for information or assistance leading to a~~  
~~25 civil or criminal proceeding under this title.~~

~~26 3. The payment of compensation from forfeited property to injured~~  
~~27 persons as provided in section 13-4310, subsection P, paragraph 3.~~

~~28 D. Each attorney for the state shall submit a copy of each~~  
~~29 forfeiture judgment, including each order of forfeiture, to the Arizona~~  
~~30 criminal justice commission within sixty days after the forfeiture~~  
~~31 judgment becomes final or after the conclusion of appellate review, if~~  
~~32 any.~~

~~33 E. FOR THE PURPOSES OF THIS SECTION, "DIGITAL ASSET" MEANS EITHER~~  
~~34 OF THE FOLLOWING THAT CONFERS ECONOMIC, PROPRIETARY OR ACCESS RIGHTS OR~~  
~~35 POWERS:~~

~~36 1. VIRTUAL CURRENCY.~~

~~37 2. CRYPTOCURRENCY.>>>~~

~~38 Section 1. Section 35-144, Arizona Revised Statutes, is amended to~~  
~~39 read:~~

~~40 35-144. Budget stabilization fund; definitions~~

~~41 A. The budget stabilization fund is established consisting of~~  
~~42 monies transferred from the state general fund pursuant to subsection B of~~  
~~43 this section. The state treasurer shall administer the budget~~  
~~44 stabilization fund, and invest and divest monies in the budget~~  
~~45 stabilization fund as provided by sections 35-313 and 35-314.02, and~~

1 DEPOSIT, PURSUANT TO SECTIONS 35-146 AND 35-147, monies earned from  
2 investment ~~shall be credited to the budget stabilization fund IN THE~~  
3 PUBLIC SAFETY PARITY FUND ESTABLISHED BY SECTION 41-1610.02[, EXCEPT THAT  
4 THE FIRST \$10,000,000 GENERATED ANNUALLY SHALL REMAIN IN THE BUDGET  
5 STABILIZATION FUND]. Except as provided by this section:

6 1. Monies in the budget stabilization fund are exempt from the  
7 provisions of section 35-190 relating to the reversion of monies to the  
8 state general fund.

9 2. The monies in the fund are separate monies to be used only for  
10 the purposes of the fund.

11 3. An amount sufficient to pay claims certified by the state  
12 forester pursuant to section 37-1305, subsection E, paragraph 4 is  
13 continuously appropriated from the fund to the state treasurer for payment  
14 of the certified claims. Not more than \$20,000,000 in unreimbursed claims  
15 may be outstanding from the fund at any time from the monies appropriated  
16 pursuant to this paragraph.

17 B. In a calendar year in which the annual growth rate exceeds the  
18 trend growth rate, the excess growth when multiplied by total general fund  
19 revenue of the fiscal year ending in the calendar year determines the  
20 amount to be appropriated by the legislature to the budget stabilization  
21 fund in the fiscal year in which the calendar year ends.

22 C. In a calendar year in which the annual growth rate is both less  
23 than two percent and less than the trend growth rate, the difference  
24 between the annual growth rate and the trend growth rate when multiplied  
25 by the total general fund revenue of the fiscal year ending in the  
26 calendar year determines the amount to be transferred by the legislature  
27 from the budget stabilization fund to the state general fund at the end of  
28 the fiscal year in which the calendar year ends. The transfer calculated  
29 pursuant to this subsection shall not exceed the available balance in the  
30 budget stabilization fund, nor shall the legislature transfer an amount  
31 that exceeds the amount sufficient to balance the state general fund  
32 budget.

33 D. The legislature shall pass a bill that contains the emergency  
34 clause if the legislature either:

35 1. Reduces the amount for appropriation to the budget stabilization  
36 fund under subsection B of this section.

37 2. Increases the amount for transfer to the state general fund  
38 under subsection C of this section.

39 E. The annual budget recommendations of the governor and the joint  
40 legislative budget committee shall include estimates of appropriations or  
41 transfers required under subsection B or C of this section.

42 F. A final determination of the amount to be appropriated to or  
43 transferred from the budget stabilization fund shall be made using  
44 personal income and price deflator estimates as reported in the second  
45 calendar quarter for the preceding calendar year. The economic estimates

1 commission shall determine the annual growth rate, the trend growth rate  
2 and the required appropriation to or transfer from the budget  
3 stabilization fund at its first meeting following the second calendar  
4 quarter report of the United States department of commerce, but not later  
5 than June 1. The commission shall certify and report its findings to the  
6 governor, the state treasurer, the president of the senate, the speaker of  
7 the house of representatives and the joint legislative budget committee.

8 G. The appropriation calculated pursuant to subsection B of this  
9 section may be included in the general appropriations bill for that fiscal  
10 year. Any additional appropriation calculated pursuant to subsection F of  
11 this section shall be made by a separate act.

12 H. At the end of a fiscal year, the budget stabilization fund  
13 balance shall not exceed ten percent of state general fund revenue for the  
14 fiscal year. Any surplus monies above ten percent shall be transferred by  
15 the state treasurer to the state general fund.

16 I. The state treasurer may temporarily divest monies in the budget  
17 stabilization fund to avoid a negative cash balance in operating  
18 monies. The amount divested shall not exceed the amount required to meet  
19 immediate cash needs. The state treasurer may divest monies in the budget  
20 stabilization fund only when the state general fund has a negative cash  
21 balance.

22 J. For the purposes of this section:

23 1. "Adjusted personal income" means personal income minus transfer  
24 payments, as reported by the United States department of commerce, bureau  
25 of economic analysis, or its successor agency.

26 2. "Annual growth rate" means the percentage change in real  
27 adjusted personal income in the calendar year ending during a fiscal year  
28 as compared to real adjusted personal income for the preceding calendar  
29 year. The annual growth rate shall be rounded to the nearest  
30 one-hundredth of one percent.

31 3. "GDP price deflator" means the gross domestic product price  
32 deflator reported by the United States department of commerce, bureau of  
33 economic analysis, or its successor agency.

34 4. "Personal income" means the total personal income of all persons  
35 in this state reported by the United States department of commerce, bureau  
36 of economic analysis, or its successor agency.

37 5. "Real adjusted personal income" means an amount that is  
38 determined by dividing adjusted personal income by the GDP price deflator  
39 and multiplying the result by one hundred.

40 6. "Transfer payments" means that portion of personal income that  
41 represents a government expenditure for which no service is rendered or  
42 product is delivered, as determined by the United States department of  
43 commerce, bureau of economic analysis, or its successor agency.

1        7. "Trend growth rate" means the average annual growth rate for the  
2 most recent seven calendar years, rounded to the nearest one-hundredth of  
3 one percent.

4        Sec. 2. Title 41, chapter 11, article 1, Arizona Revised Statutes,  
5 is amended by adding section 41-1610.02, to read:

6        41-1610.02. Public safety parity fund

7        A. THE PUBLIC SAFETY PARITY FUND IS ESTABLISHED TO ~~[PAY FOR THE~~  
8 ~~SALARIES OF]~~ ~~[PROVIDE RETENTION PAY AND BENEFITS FOR]~~ EMPLOYEES FROM THE  
9 DEPARTMENT OF PUBLIC SAFETY AND THE STATE DEPARTMENT OF CORRECTIONS. THE  
10 FUND CONSISTS OF ~~[PROCEEDS FROM THE SALE OF FORFEITED DIGITAL ASSETS~~  
11 ~~DEPOSITED PURSUANT TO SECTION 13-4315 AND]~~ MONIES EARNED FROM INVESTMENT  
12 FROM THE BUDGET STABILIZATION FUND ESTABLISHED BY SECTION 35-144. THE  
13 STATE DEPARTMENT OF CORRECTIONS SHALL ADMINISTER THE FUND. MONIES IN THE  
14 FUND ARE SUBJECT TO LEGISLATIVE APPROPRIATION.

15        B. BEGINNING JUNE 30, 2027 AND EACH FISCAL YEAR THEREAFTER, THE  
16 STATE DEPARTMENT OF CORRECTIONS SHALL DEPOSIT, PURSUANT TO SECTIONS 35-146  
17 AND 35-147, FORTY PERCENT OF THE MONIES DEPOSITED IN THE PUBLIC SAFETY  
18 PARITY FUND ESTABLISHED BY THIS SECTION IN THE PARITY COMPENSATION FUND  
19 ESTABLISHED BY SECTION 41-1720.

20        C. IN DETERMINING THE AMOUNT OF THE EXPENDITURES FROM THE FUND, THE  
21 STATE DEPARTMENT OF CORRECTIONS SHALL ANNUALLY ESTABLISH AND CONSIDER  
22 BENCHMARKS BASED ON THE AVERAGE TOTAL COMPENSATION FOR EACH COMPARABLE  
23 CORRECTIONS PERSONNEL RANK OF THE TWO LARGEST COUNTY JAILS IN THIS STATE  
24 AND THE TWO LARGEST PRIVATE PRISONS IN THIS STATE.

25        [D. THE STATE DEPARTMENT OF CORRECTIONS SHALL DISTRIBUTE THE MONIES  
26 IN THE FUND ON JULY 1 AND DECEMBER 31 EACH YEAR. THE STATE DEPARTMENT OF  
27 CORRECTIONS MAY PROVIDE A RETENTION BONUS TO DEPARTMENT EMPLOYEES OF NOT  
28 MORE THAN THREE PERCENT FROM FUND MONIES.]

29        Sec. 3. Section 41-1720, Arizona Revised Statutes, is amended to  
30 read:

31        41-1720. Parity compensation fund

32        A. The parity compensation fund is established consisting of monies  
33 deposited pursuant to ~~section~~ SECTIONS 28-5808 AND 41-1610.02 and monies  
34 appropriated by the legislature. The department shall administer the fund  
35 and, considering state revenues and state employee pay adjustments, ~~the~~  
36 ~~department~~ shall spend monies from the fund [TO PROVIDE RETENTION PAY AND  
37 BENEFITS FOR EMPLOYEES FROM THE DEPARTMENT AND] for salaries and benefits  
38 for law enforcement personnel that the department determines will enhance  
39 the ability of the department to successfully recruit and retain qualified  
40 law enforcement personnel. In determining the amount of the expenditures  
41 from the fund, the department shall annually establish and consider  
42 benchmarks based on the average total compensation for each comparable law  
43 enforcement personnel rank of the department's three largest county or  
44 municipal peer law enforcement agencies in this state. For the purposes  
45 of this subsection, "total compensation" includes base salary, educational

1 incentive pay, physical performance pay, longevity pay and retirement  
2 contributions made by an employer on behalf of an employee.

3 B. On notice from the department, the state treasurer shall invest  
4 and divest monies in the fund as provided by section 35-313, and monies  
5 earned from investment shall be credited to the fund.

6 C. Fund monies:

7 1. Do not revert to the state general fund.

8 2. Are exempt from the provisions of section 35-190 relating to  
9 lapsing of appropriations.

10 3. Are subject to legislative appropriation.

11 [D. THE DEPARTMENT MAY PROVIDE A RETENTION BONUS TO DEPARTMENT  
12 EMPLOYEES OF NOT MORE THAN THREE PERCENT FROM MONIES DEPOSITED IN THE FUND  
13 PURSUANT TO SECTION 41-1610.02.]

14 Enroll and engross to conform

15 Amend title to conform

JEFF WENINGER

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